

Project Management

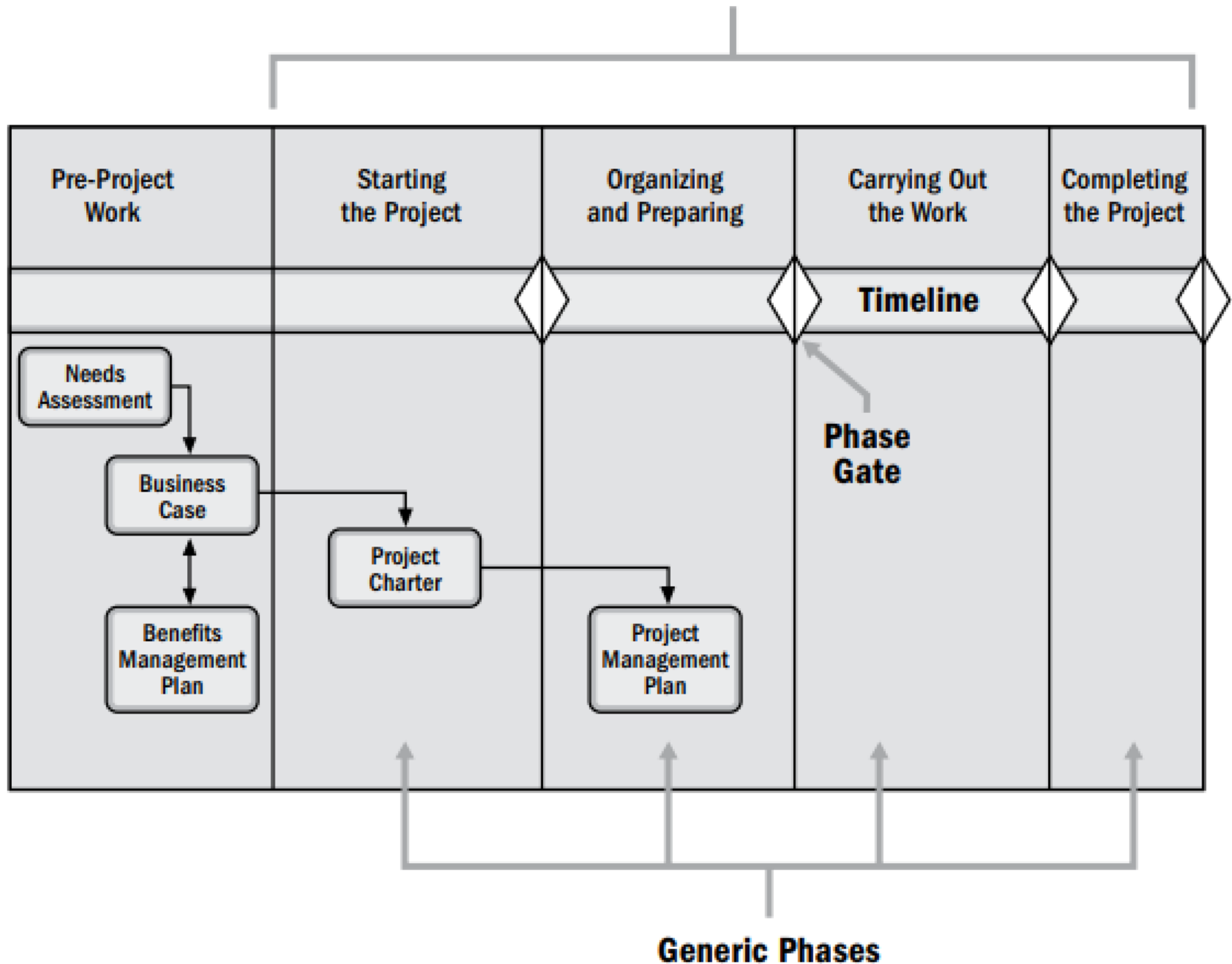
3. Initiate Project

Contents

- Project selection
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 - Business Case
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- Project Selection Tools:
- Assumption Logs
- Initiating Processes
- Develop Project charter process
- Identify Stakeholders process
 - Who are stakeholders?
 - Stakeholder analysis

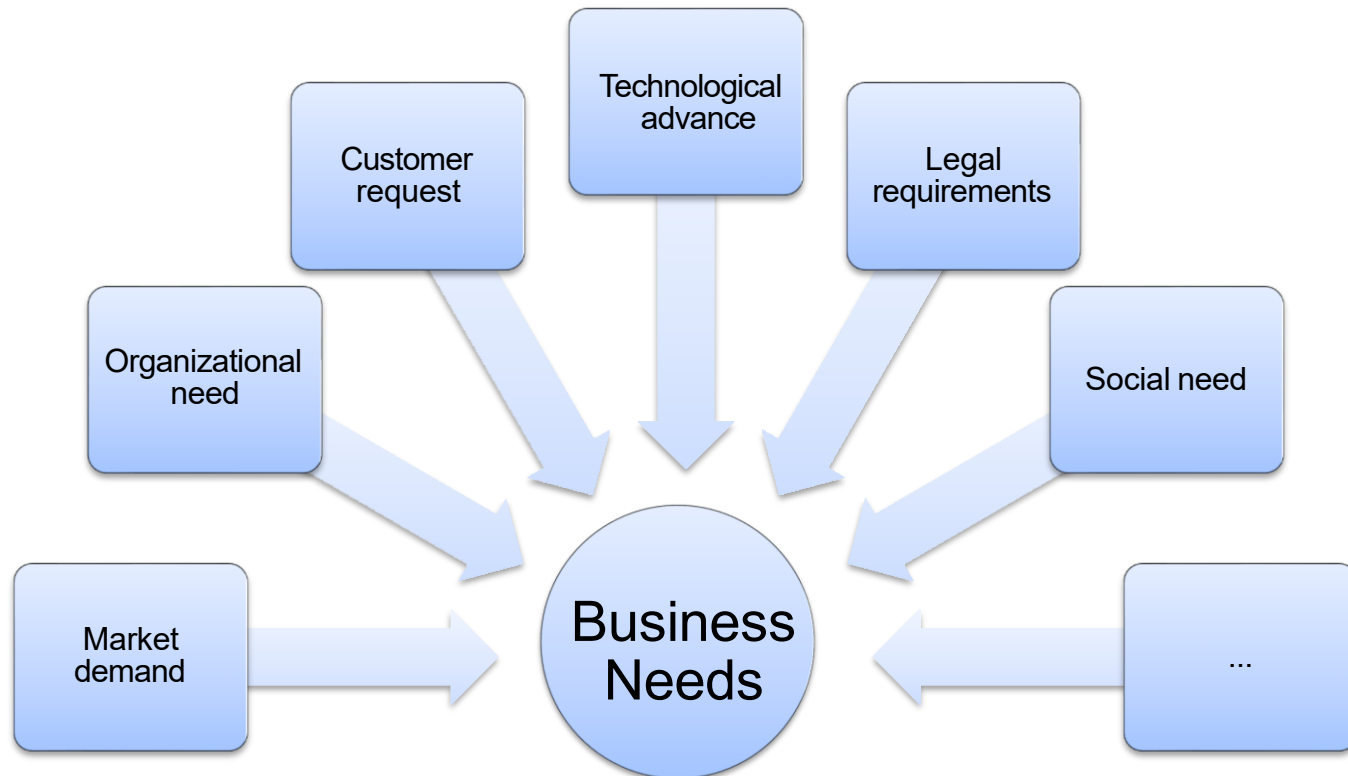
Project selection

Project Life Cycle



Need Assessment

- The needs assessment involves understanding business goals and objectives, issues, and opportunities and recommending proposals to address them.
- The results of the needs assessment may be summarized in the business case document.



Business Case

- Describe why the company should do the project
 - Objectives of project
 - Reasons for project initiation
- Project Business Case used as a basis:
 - for the authorization of further project management activities.
 - to measure success and progress throughout the project life cycle by comparing the results with the objectives and the identified success criteria.
- A business case may include but is not limited to:
 - Business needs
 - Analysis of the situation
 - Recommendation

BUSINESS CASE

Project Title: _____

Project Sponsor: _____ Date Prepared: _____

Business Manager: _____ Project Customer: _____

Problem Definition:

Project Overview and Strategic Alignment:

Cost Benefit Analysis:

Alternatives Analysis:

Approval: _____

Project benefits management plan

- The document that describes:
 - How and when the benefits of the project will be delivered
 - How the benefits will be measured
- Include:
 - Target benefits Strategic alignment
 - Timeframe for realizing benefits
 - Benefits owner
 - Metrics
 - Assumptions
 - Risks

BENEFIT MANAGEMENT PLAN	
Program Title: _____	
Program Sponsor: _____	Date Prepared: _____
Benefit Owner: _____	Beneficiary: _____
Target Benefits: _____	
Strategic Alignment: _____	
Timeframe for realizing benefits	Due Date
_____	_____
_____	_____
_____	_____
Metrics	Measurement
_____	_____
_____	_____
_____	_____

Project Selection

Short-list selection

- Feasibility analysis
- Murder board (shoot down a new project idea)
- Peer review
- Scoring models

Benefit Cost analysis

- Benefit Cost Ratio (**BCR**)
- Opportunity Cost
- Sunk Costs

Investment Appraisal

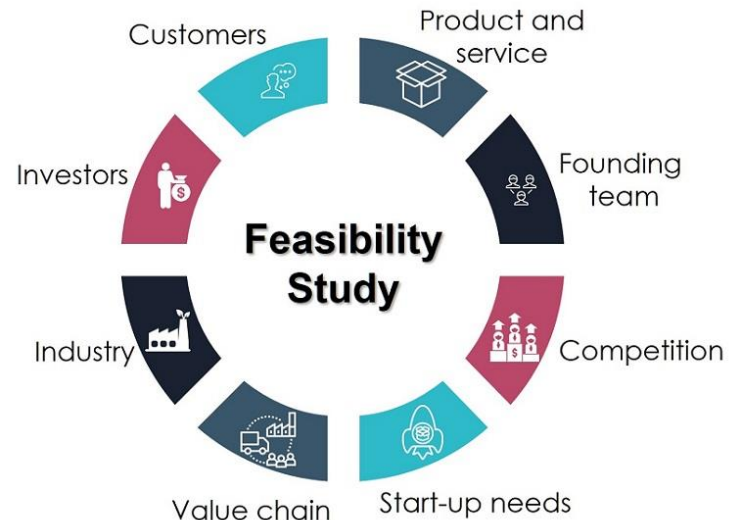
- Payback period/Breakeven analysis
- Present value (PV)
 - $PV = FV / (1 + r)^n$
 - PV: Present value
 - FV: Future value
 - r: interest rate
 - n: number of time periods
- Net present value (NPV)
 - $NPV = PV \text{ of Income} - PV \text{ of Cost}$
- Internal Rate of Return (**IRR**)
- Return on Investment (**ROI**)

Feasibility Analysis

Feasibility analysis is the process of evaluating whether a proposed project is **viable**, **realistic**, and **worth pursuing**. It helps organizations decide whether to proceed with a project idea before investing significant time and resources.

Information may includes:

- Technically feasibility
- Economic feasibility
- Operational Feasibility
- Legal Feasibility
- Schedule Feasibility



Murder board

A **Murder Board** is a **critical review panel** used in project selection (especially in high-stakes environments like government, defense, or corporate R&D) to rigorously **evaluate, challenge, and potentially “kill” weak or unviable projects** before they get approved.

Steps:

1. Project team presents their proposal.
2. A group of experts, skeptics, or senior reviewers (the “murder board”) acts as critics.
3. They ask tough questions, challenge assumptions, and test feasibility.
4. Based on the outcome: The project may be approved, revised, or rejected (“murdered”).



Scoring models

A **Scoring Model** is a structured, quantitative method used to **evaluate and compare multiple project proposals** based on predefined criteria.

Steps:

1. Define evaluation criteria
2. Assign weights to each criterion
3. Score each project against every criterion
4. Calculate weighted scores
5. Compare total scores

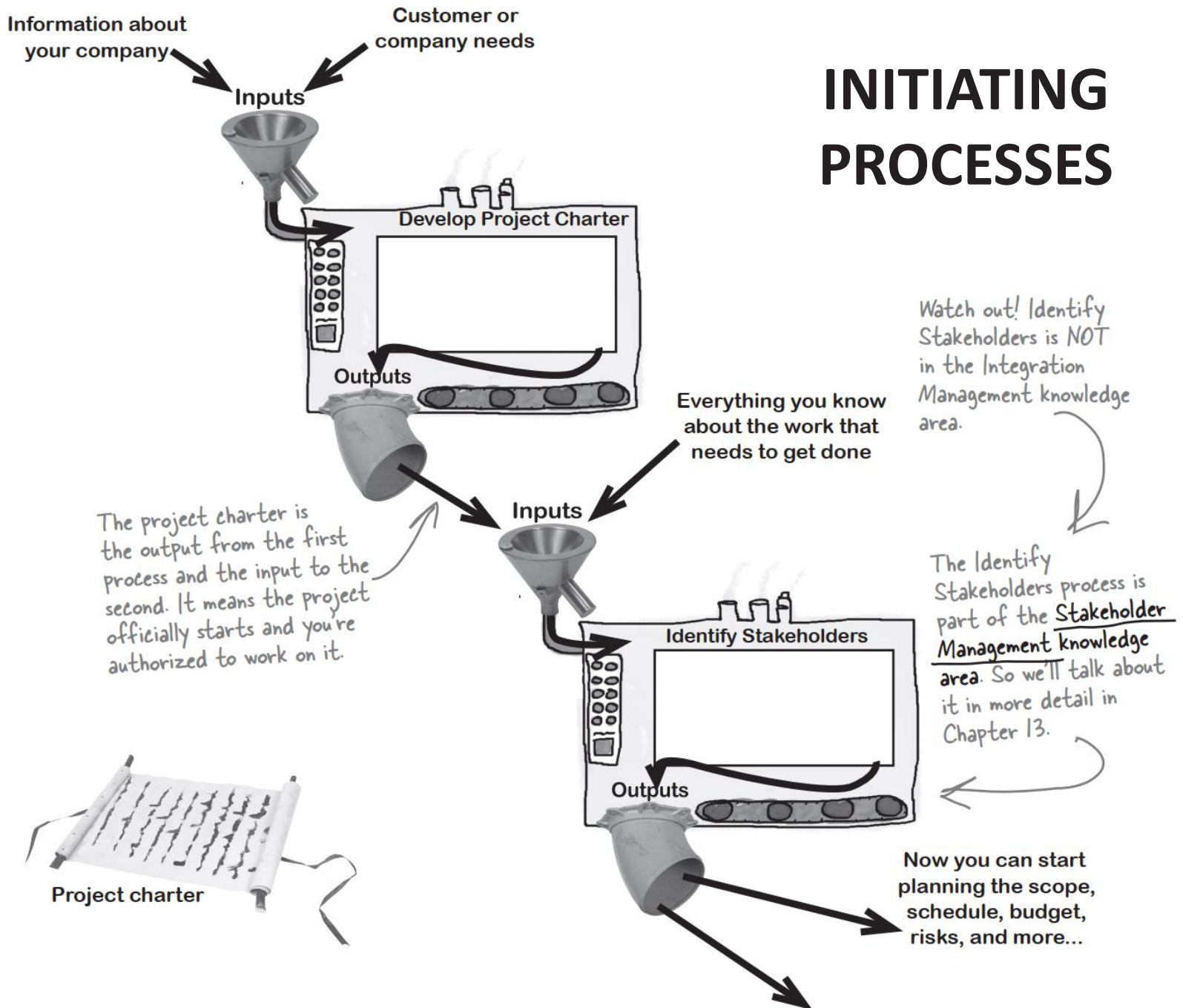
EXAMPLE

Weighted Scoring Model

		Requirement Score				
Criteria	Weight	A	B	C	D	E
Customer Impact	25%	4	2.5	2	2	5
Risk	15%	3	4	2	5	3
Technical Feasibility	20%	3	3	3.5	2	3.5
Revenue Potential	10%	3	3.5	3	2.5	4
Strategic Fit	10%	2	2.5	3	3	5
Stakeholder	10%	2	2.5	2	4	5
Compliance	5%	1	2	3	4	3
Urgency	5%	4	1	2	4	5
Weighted Scores	100%	3	2.825	2.55	3	4.2

Initiating Processes

INITIATING PROCESSES



Develop Project charter

Develop Project charter

What?

The document that:

- formally authorizes the existence of a project
- provides the project manager with the authority to apply organizational resources to project activities

When?

Take place on a project/or phase before it becomes official

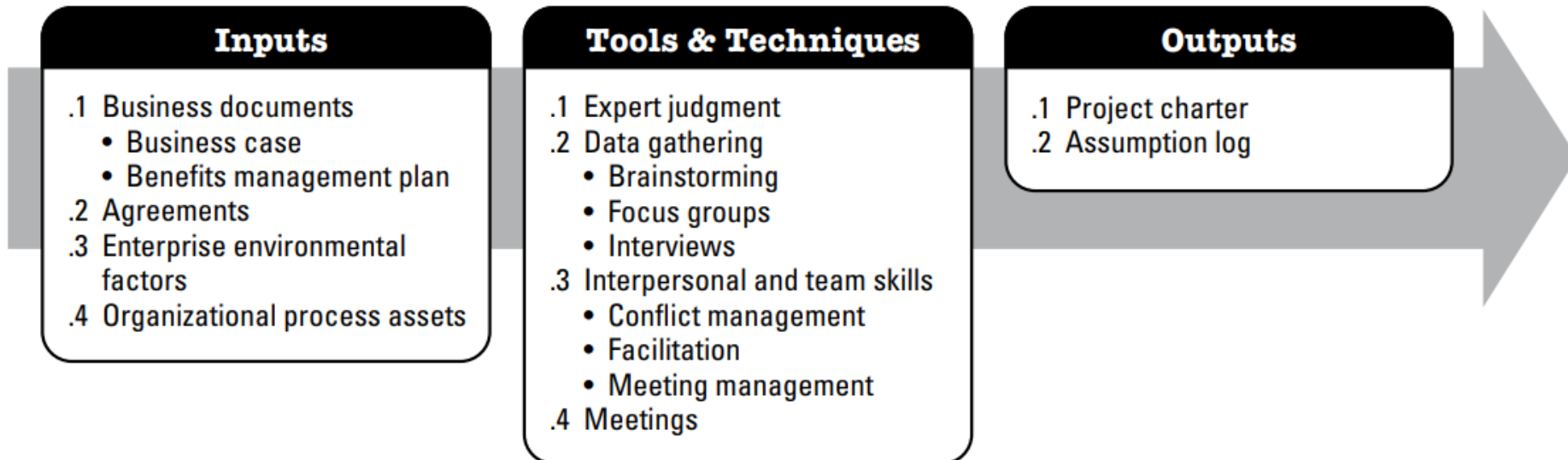
Who?

Issued by the project initiator or sponsor (project manager may help)



How?

- Validate project alignment with organizational strategy and expected business value.
- Identify key deliverables, initial milestones, based on the business requirements
- Identify high level risks, assumptions, and constraints
- Evaluation of the feasibility of new products or services within the given assumptions and/or constraints.
- Propose an implementation strategy
- Obtain project charter approval from the sponsor
- Inform stakeholders of the approved project charter



Define Project objectives

- Project success should be measured with consideration toward achievement of the **project objectives**.
- Project objectives should be documented and agreed upon by the key stakeholders and the project manager.
- Project managers needs to be able to:
 - Clearly document the project objectives (S.M.A.R.T objectives)
 - Resolve competing objectives, balance the demands
 - Prioritize project objectives

Create S.M.A.R.T. Goals



Inputs

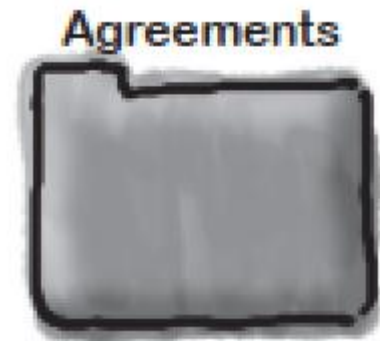
- **Business documents:**
describes the value of the project to the business
 - **Business Case**
 - Describe why the company should do the project. (Project benefits)
 - Typically justified by business need, project justification (cost-benefit analysis), business strategy...
 - **Benefits management plan**
 - Describe when and how the benefits of the project will be delivered.



Business documents

Inputs

- **Agreements** are used to define initial intentions for a project
 - Contracts
 - Memorandums of understanding (MOUs), service level agreements (SLA), letters of agreement, letters of intent (LOI)
 - Verbal agreements
 - Email, or other written agreements....



Inputs

Enterprise Environmental Factor

- Organizational or company culture and structure
- Governmental or industry standards
- Existing Human Resources
- Personnel Administration
- Company work authorization system
- Marketplace conditions
- Stakeholder risk tolerances
- Commercial databases
- **Project Management Information Systems**



Enterprise
environmental factors

Organizational Process Assets

- Policies, guidelines, templates,
- Procedures, plans, approaches, or standards for conducting work, including project work.
- Historical Information, **lessons learned** etc



Organizational
process assets

HOW TO WRITE A PROJECT CHARTER

①

Outline basic project information

②

Identify goals and objectives

③

Clarify your deliverables

④

Consider project scope and risks

⑤

Assign team roles and responsibilities

⑥

Set a budget and timeline

⑦

Align key stakeholders

⑧

Kick off your project

Tools & Techniques

Expert Judgment

Who have training, specialized knowledge, or skills in the areas you're assessing and is available from various sources including :

- Consultants
- Subject Master Experts
- Professional and technical associations
- Industry groups
- PMO

Meetings

Meetings are held with relevant stakeholders in order to:

- Manage stakeholder expectations and direct the achievement of project goals.
- Ensure common understanding of the key deliverables, milestones, and their roles and responsibilities.



Develop Project Charter: Tools & Techniques

Data Gathering

- Interview
- Brainstorming
- Focus group: meeting with targeted stakeholder group

Interpersonal and team skills

- Conflict resolution
- Facilitation
- Meeting management



Develop Project Charter: Tools & Techniques

Tool/Technique	Why It's Needed
Expert Judgment	Provides realism, feasibility analysis, lessons learned
Data Gathering	Collects input from stakeholders to define key elements
Interpersonal Skills	Builds consensus, resolves conflicts, manages politics
Meetings	Enables collaboration, clarification, and final agreement

Bottom Line

- Creating project charter isn't just about filling in a template — it's about aligning people, purpose, and plans.
- Using Tools & Techniques to ensure that the Charter is:
 - Well-informed
 - Stakeholder-approved
 - Practical and aligned with strategy

Outputs

- **Project charter** documents the **high-level information** on the project and on the product, service, or result the project is intended to satisfy
- May contain:
 - Project purpose;
 - Measurable project objectives and related success criteria;
 - High-level requirements;
 - High-level project description, boundaries, and key deliverables;
 - Overall project risk;
 - Summary milestone schedule;
 - Preapproved financial resources;
 - Key stakeholder list;
 -

PROJECT CHARTER	
Project Title:	
Project Sponsor:	Date Prepared:
Project Manager:	Project Customer:
Project Purpose:	
High-Level Project Description:	
Project Boundaries:	
Key Deliverables:	
High-Level Requirements:	

PROJECT CHARTER

1. Project Title

Smart Warehouse Management System

2. Project Purpose or Justification

The project aims to improve inventory control efficiency and reduce warehouse losses, contributing to overall supply chain optimization.

3. Measurable Project Objectives and Success Criteria

- Reduce inventory checking time by 30% within 6 months.
- Maintain inventory discrepancy rate below 2%.
- Successfully deploy the system in 3 logistics centers within 9 months.

4. High-level Requirements

- Support for barcode and RFID management.
- Multi-device user interface (web, tablet).
- Integration with the existing ERP system.

5. High-level Project Description and Boundaries

- Includes business analysis, software development, testing, and user training.
- Excludes RFID hardware deployment (to be provided by a third party).

6. High-level Risks

- Risks in integrating with legacy ERP system.
- Potential delays in hardware delivery from vendor.

7. Summary Milestone Schedule

- Project Kick-off: July 1, 2025
- Business Analysis Completion: August 15, 2025
- Beta Release: October 15, 2025
- Final Deployment: March 31, 2026

8. Summary Budget

Estimated: VND 2,000,000,000 (includes development, testing, and training costs)

9. Stakeholder List

- Sponsor: Mr. Tran Van A – Chief Operating Officer
- Proposed Project Manager: Ms. Nguyen Thi B
- Users: Warehouse staff, IT department

10. Project Approval Requirements

- Approval by the Sponsor
- Achievement of success criteria as defined in Section 3

11. Assigned Project Manager and Authority Level

- Project Manager: Ms. Nguyen Thi B
- Authorized to manage project budget, assign resources, and make decisions within project scope.

12. Name and Authority of the Sponsor

Signed:

Mr. Tran Van A – Chief Operating Officer

Date: June 1, 2025

- High-level **strategic and operational assumptions** and constraints are normally identified in the business case before the project is initiated and will flow into the project charter.
- Lower-level activity and task assumptions are generated throughout the project such as defining technical specifications, estimates, the schedule, risks, etc.
- The assumption log is used to record all assumptions and constraints throughout the project life cycle.

ID	Category	Assumption/Constraint	Responsible Party	Due Date	Actions	Status	Comments

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Create Assumption Logs

- What are assumptions?
 - Things believed to be true during planning
- Who provides them?
 - PM, sponsor, stakeholders, technical experts
- When are they created?
 - Mainly in Initiating and Planning phases
- Why are they important?
 - For planning accuracy, risk identification, expectation alignment

ID	Assumption	Impact Area	Validity Status	Notes / Justification
A-01	Key users will be available for requirement gathering during August 2025.	Schedule, Scope	Not Yet Validated	Pending confirmation from warehouse operations team.
A-02	ERP vendor will provide required API documentation for integration.	Integration, Timeline	Not Yet Validated	No formal agreement signed with ERP vendor yet.
A-03	RFID hardware will be delivered on time by third-party vendor.	Risk, Schedule	Not Yet Validated	Contract with vendor still under negotiation.
A-04	The existing infrastructure can support the new system with minimal upgrades.	Cost, Technical Feasibility	Validated	Based on preliminary IT assessment.
A-05	Training can be conducted in a hybrid format (on-site and online).	Training Plan, Stakeholders	Validated	Stakeholders have agreed in previous internal meetings.
A-06	Users are familiar with basic IT systems and require minimal digital training.	Training, Schedule	Not Yet Validated	Will be assessed during stakeholder interviews.
A-07	Project budget of 2 billion VND is sufficient if scope is not expanded.	Cost, Scope Management	Validated (Conditional)	Budget is approved; scope creep risk must be managed.

Identify Stakeholders

Who are stakeholders?

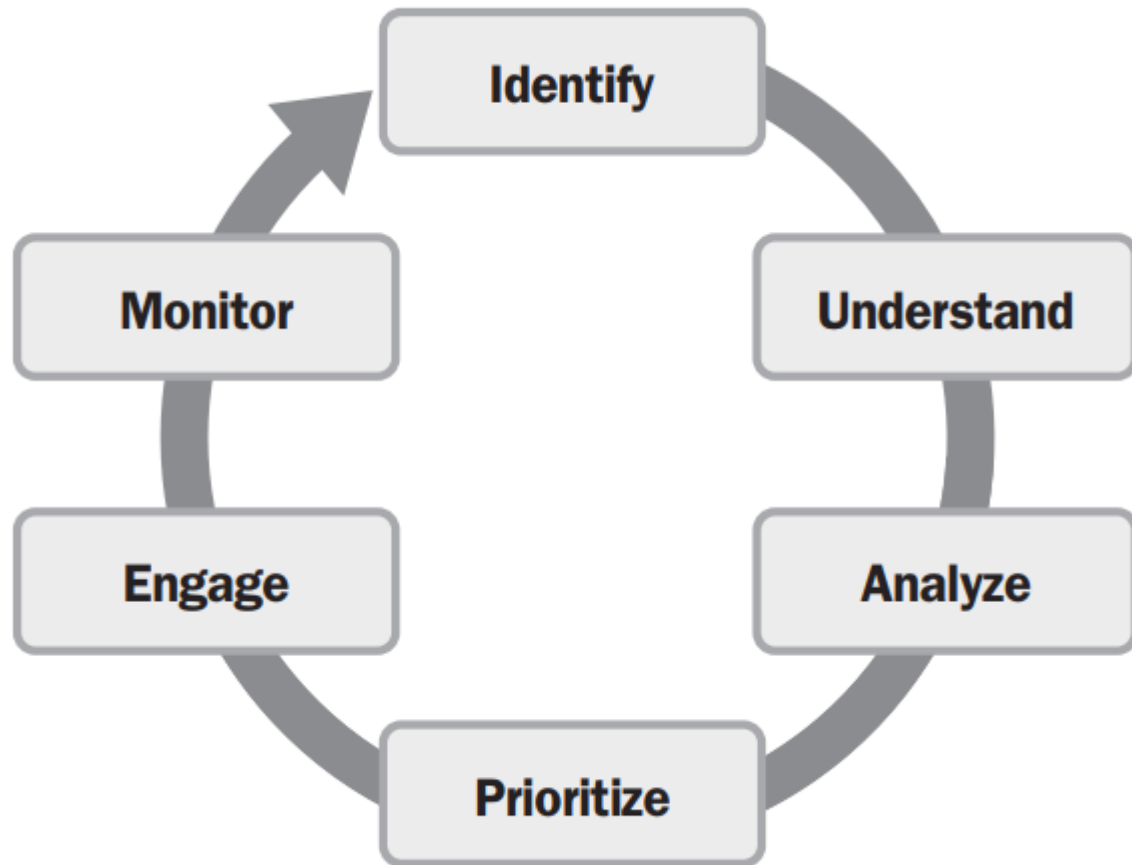
- Stakeholder
 - "one with whom bets are deposited when a wager is made,"
 - "one who has something to gain or lose" (in a business, etc.), "one who has an interest in" (something)
- Stakeholder's stakes:
 - Interest
 - Rights (legal or moral rights)
 - Ownership
 - Knowledge
 - Contribution



Who are stakeholders?

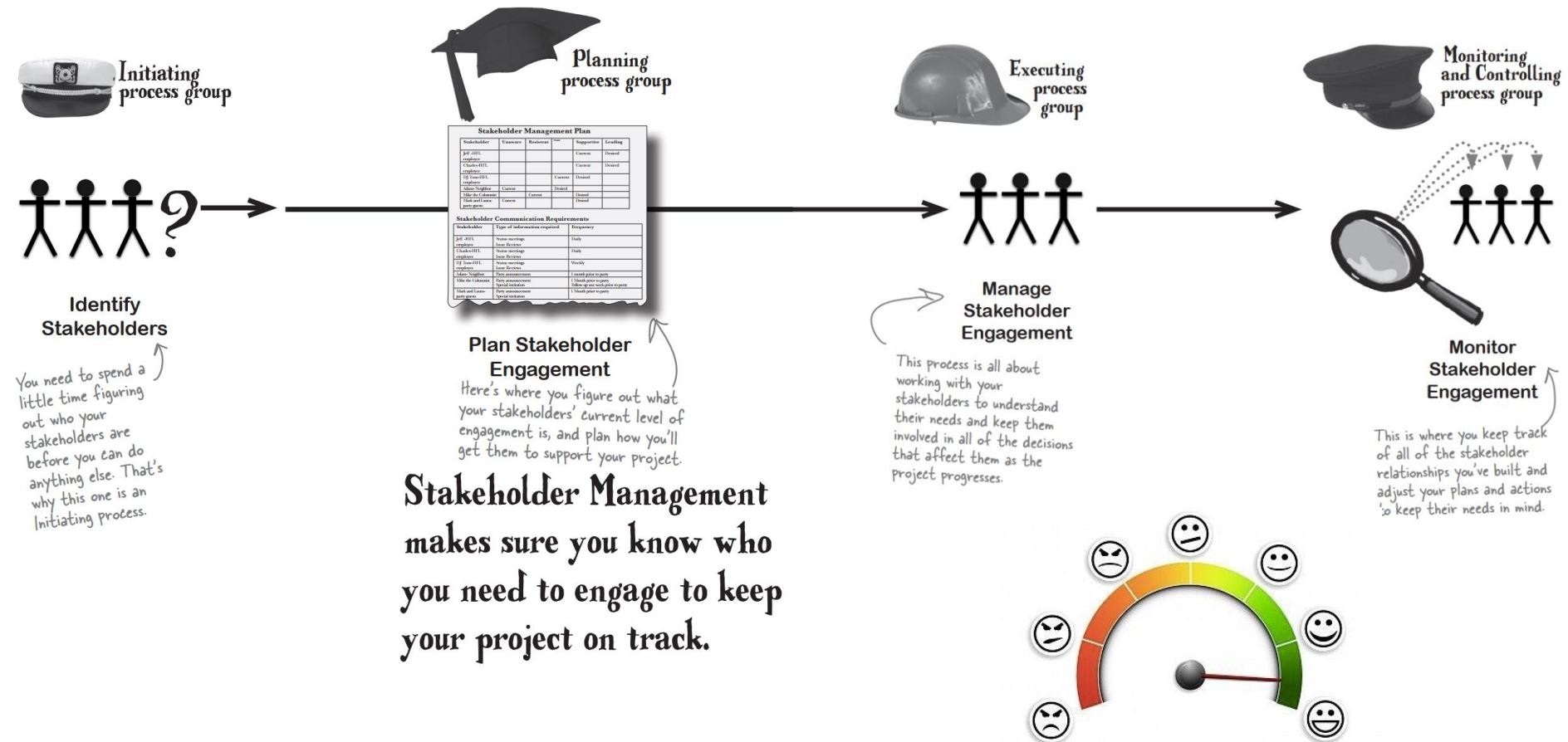
- Any individual, group, or organization who:
 - may affect
 - be affected by
 - or perceive itself to be affected by a decision, activity, or outcome of a project.





Active and proper stakeholder management => Lower the risks in your project

Stakeholder requirements and expectations sometimes change over the course of the project. Monitor Stakeholder Engagement makes sure you stay on top of those changes and adjust your plans accordingly.



Stakeholder satisfaction is considered as important project objective

Identify Stakeholders

- **What:**

- Identifying project stakeholders regularly
- analyzing and documenting relevant information regarding their interests, involvement, interdependencies, influence, and potential impact on project success.

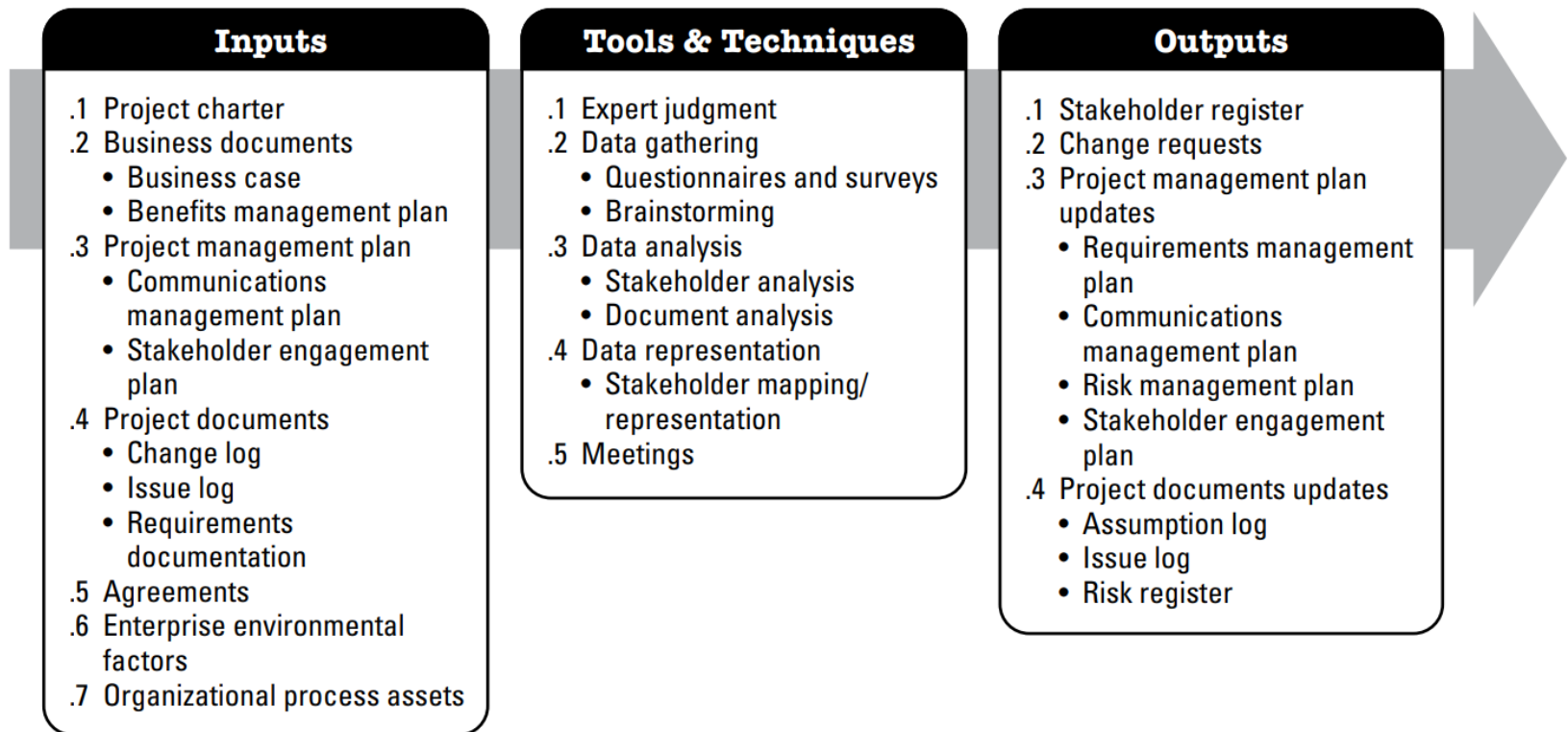
- **Why:**

- An un-identified key stakeholder can potentially turn high **risk** to project
- Identify the **appropriate focus** for engagement of each stakeholder or group of stakeholders.

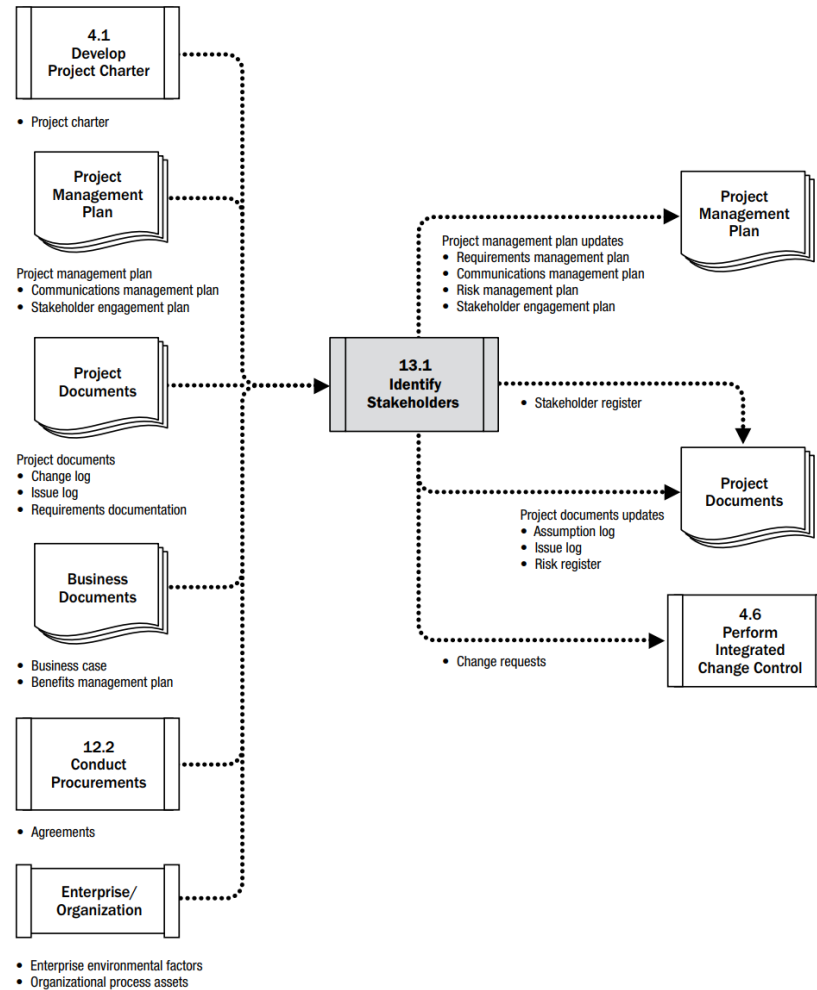
- **When:**

- As early as possible, preferably during initiation and definitely prior to starting of planning.
- Periodically throughout the project **as needed**.

Process



Data Flow



Tools & Techniques: Data-gathering

Expert Judgment

individuals or groups with specialized knowledge or training in:

- Understanding the politics and power structures in the organization
- Knowledge of the environment and culture of the organization and other affected organizations including customers and the wider environment
- Knowledge of the industry or type of project deliverable
- Knowledge of individual team member contributions and expertise

Questionnaire and Survey

- Questionnaires and surveys can include one-on-one reviews, focus group sessions, or other mass information collection techniques.



Tools & Techniques: Data-gathering

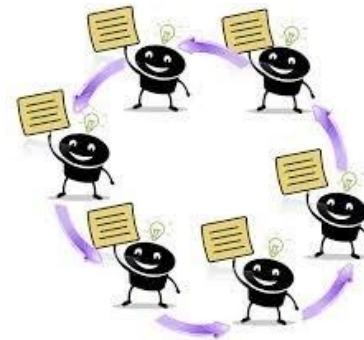
Brainstorming

- Gathering a list of ideas spontaneously contributed by its members.
- Rules for brainstorming :
 - Go for **quantity**
 - Withhold **criticism**
 - Welcome wild ideas
 - Combine and improve ideas



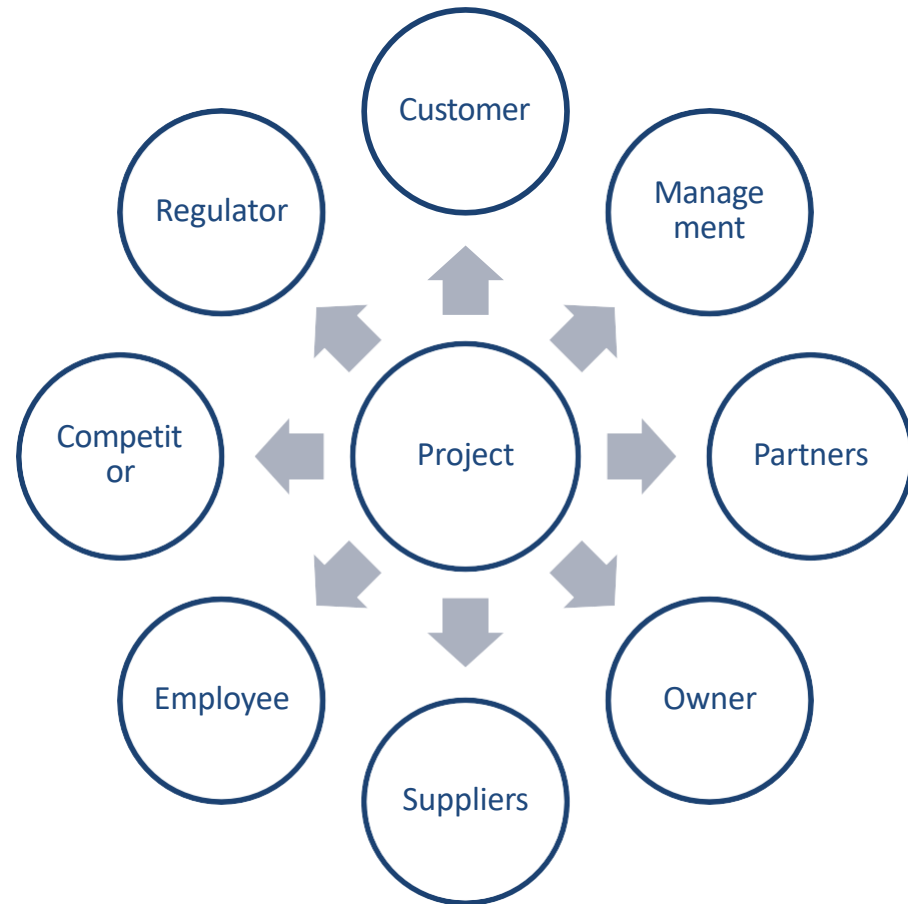
Brain writing

- When a group has a limited time to discuss problem/issues
- When there are several shy/reserved/ introspective people in a group
- When ideas need to flow freely without any censorship



Tools & Techniques: Stakeholder analysis

- Identify potential project stakeholders
 - Identify all stakeholders, not just a limited set
- Determine all of their major requirements, expectations, interests, level of influence, knowledge, role, ...
- Stakeholder's stakes:
 - Interest
 - Rights (legal or moral rights)
 - Ownership
 - Knowledge
 - Contribution

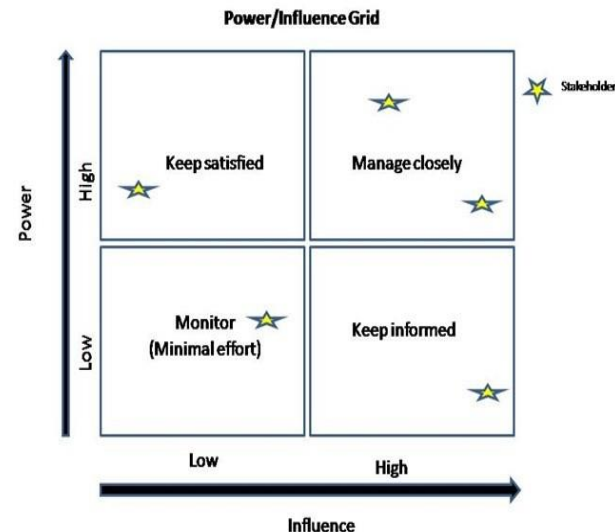
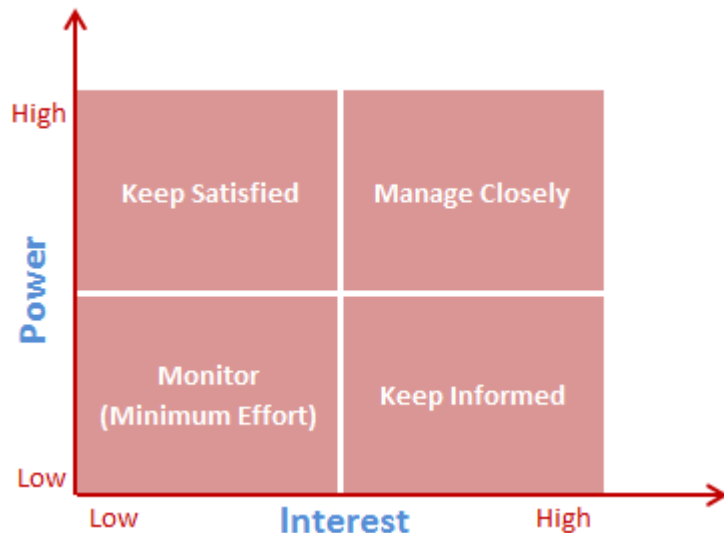


Tools & Techniques: Data representation

Grid models

- Power/Interest grid, Power/Influence grid, Impact/influence grid
- useful for small projects or for projects with simple relationships between stakeholders and the project, or within the stakeholder community itself

- **Power:** level of authority
- **Interest:** level of concern about the project's outcomes
- **Influence:** ability to influence the outcomes of the project
- **Impact:** ability to cause changes to the project's planning or execution

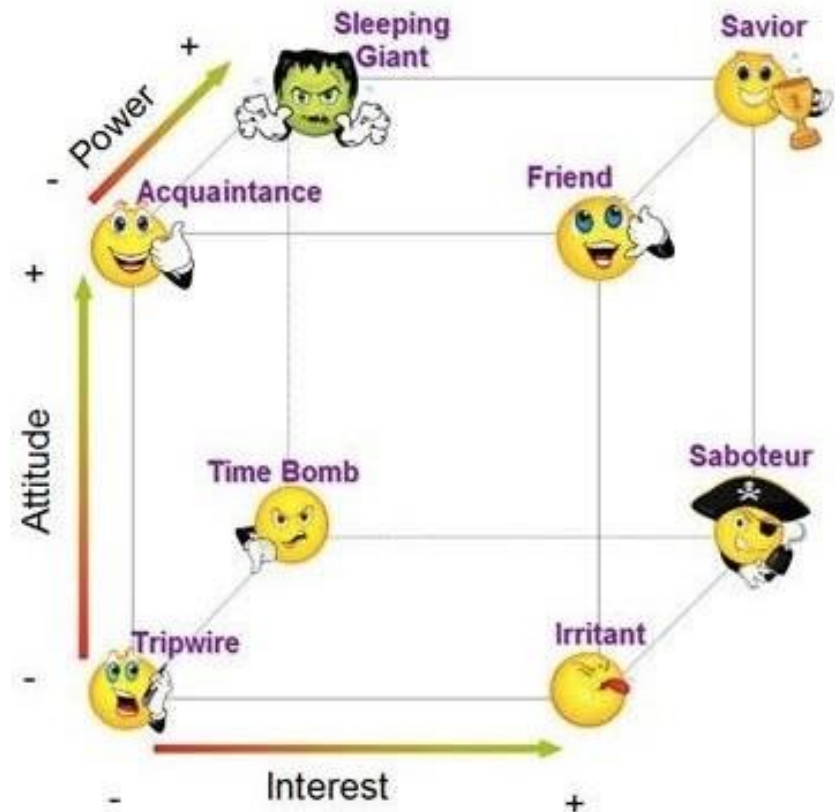


Tools & Techniques: Data representation

Stakeholder Cube

a refinement of the grid models

- **Power:** Refers to the degree of influence a stakeholder has on the project's outcomes.
- **Interest:** Indicates the level of involvement or concern a stakeholder has in the project.
- **Attitude:** Describes the stakeholder's support or opposition to the project.

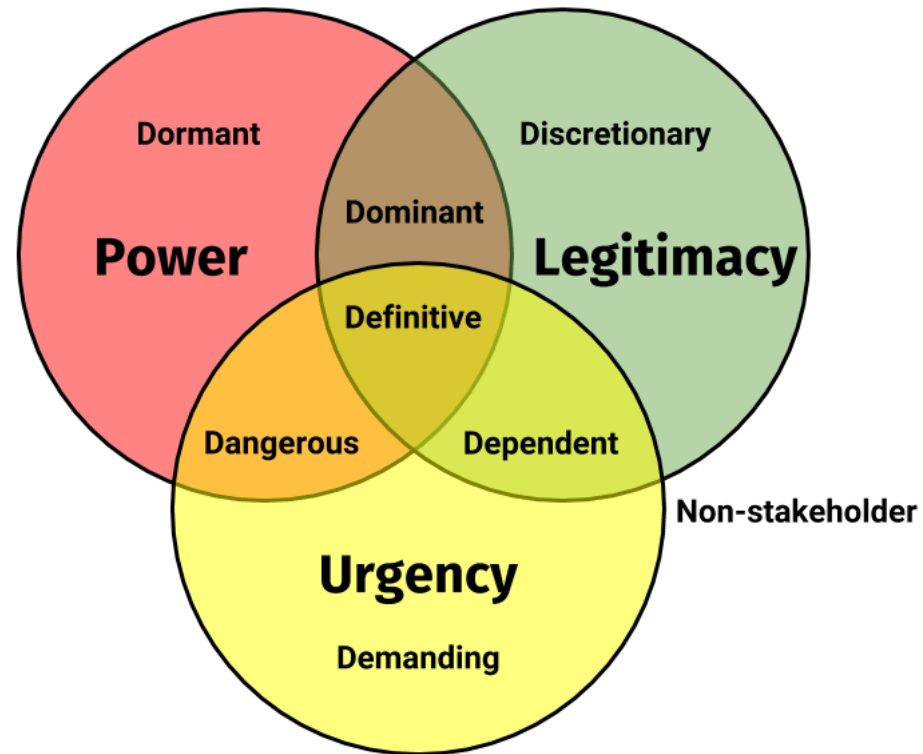


Tools & Techniques: Data representation

Salience Model

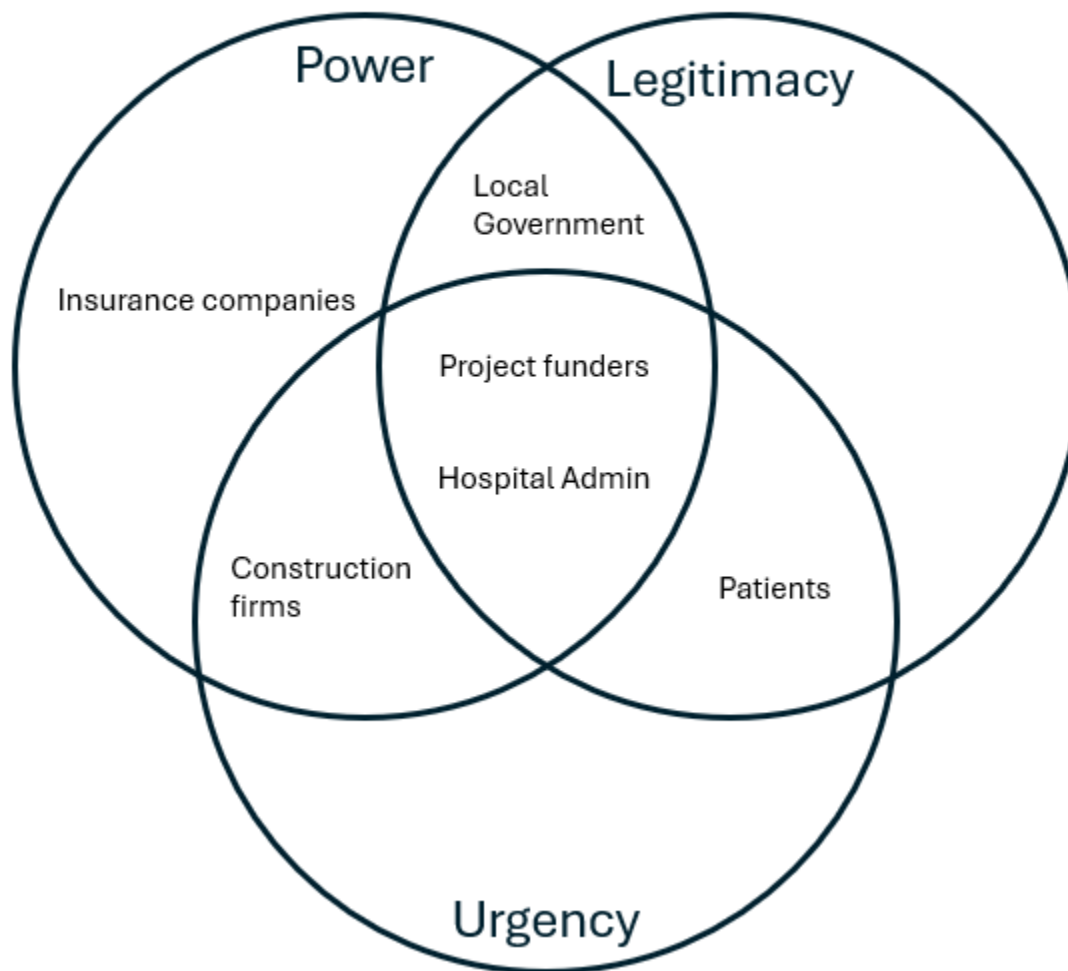
Describes classes of stakeholders based on assessments of their power, **urgency** (need for immediate attention or action, either time-constrained or relating to the stakeholders' high stake in the outcome), and **legitimacy** (their involvement is appropriate)

- useful for large complex communities of stakeholders or where there are complex networks of relationships within the community.
- also useful in determining the relative importance of the identified stakeholders.



Manage Closely	Definitive
Keep Satisfied	Dominant, Dangerous
Keep Informed	Dependent
Monitor	Dormant, Discretionary, Demanding

Salience Model Example



Hospital construction project

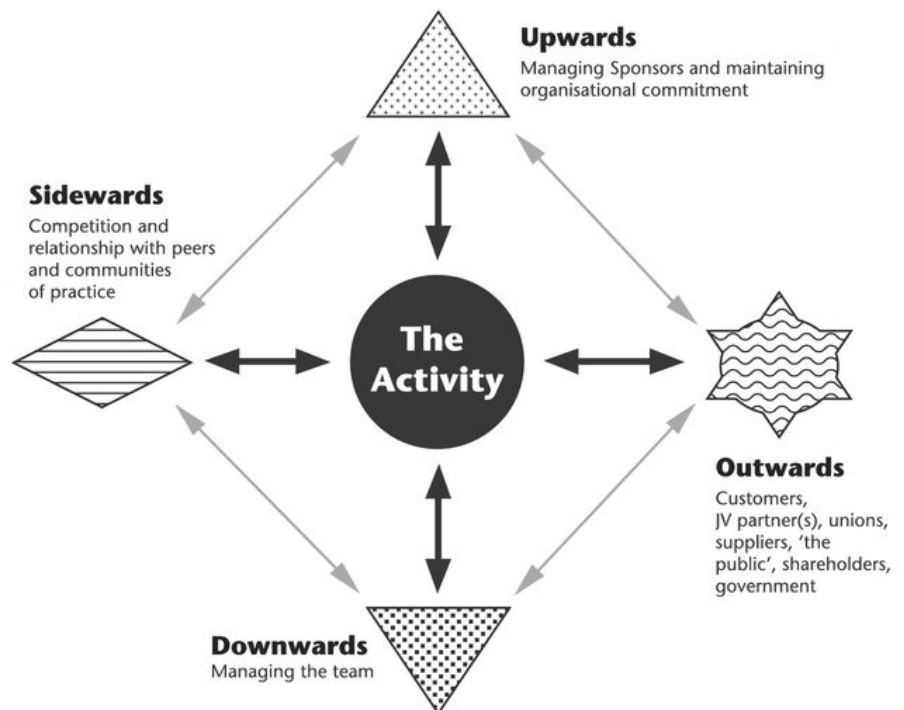
Type	Attribute	How to improve their engagement
Saviour	powerful, high interest, positive attitude or alternatively influential, active, backer.	They need to be paid attention to; you should do whatever necessary to keep them on your side pander to their needs.
Friend	low power, high interest, positive attitude or alternatively insignificant, active, backer.	They should be used as a confidant or sounding board.
Saboteur	powerful, high interest, negative attitude or alternatively influential, active, blocker.	They need to be engaged in order to disengage. You should be prepared to 'clean up after them'.
Irritant	low power, high interest, negative attitude or alternatively insignificant, active, blocker.	They need to be engaged so that they stop 'eating away' and then be 'put back in their box'.
Sleeping Giant	powerful, low interest, positive attitude or alternatively influential, passive, backer.	They need to be engaged in order to awaken them.
Acquaintance	low power, low interest, positive attitude or alternatively insignificant, passive, backer.	They need to be kept informed and communicated with on a 'transmit only' basis.
Time Bomb	powerful, low interest, negative attitude or alternatively influential, passive, blocker.	They need to be understood so they can be 'defused before the bomb goes off'.
Trip Wire	low power, low interest, negative attitude or alternatively insignificant, passive, blocker.	They need to be understood so you can 'watch your step' and avoid 'tripping up'.

Tools & Techniques: Data representation

Directions of influence

Classifies stakeholders according to their influence on the work of the project or the project team itself

- **Upward:** senior management, sponsor, steering committee
- **Downward:** team members or experts
- **Outward:** outside the project team(suppliers, government departments, the public, end-users, and regulators)
- **Sideward:** the peers of the project manager such as other project managers or middle managers



Tools & Techniques: Data representation

Prioritization

- projects with a large number of stakeholders where the membership of the stakeholder community is changing frequently
- the relationships between stakeholders and the project team or within the stakeholder community are complex

[illegible]

Outputs

Change requests

- During the first iteration of identifying stakeholders, there will not be any change requests.
- As stakeholder identification continues throughout the project, new stakeholders, or new information about stakeholders, may result in a change request to the product, project management plan, or project documents.

Project management plan updates

- Stakeholder engagement plan.
- Communications management plan.
- Requirements management plan.
- Risk management plan.

Project documents updates

- Assumption log
- Issue log
- Risk register

Inputs

Project Charter

- Key stakeholders: Project sponsor, Customer, Pre-assigned team member

Project management plan

- The project management plan is not available when initially identifying stakeholders; however, once it has been developed, project management plan components include but are not limited to:
- Stakeholder Engagement Plan
- Communication Management Plan

Project documents

- Change log
- Issue log
- Requirement documentation
- Groups, organizations, etc.

Business Documents

- Beneficiaries of the outcomes of the project

Agreement

- Supplier, subcontractor
- Additional stakeholders

Enterprise Environmental Factors

Organizational Process Assets